

|                                        |            |
|----------------------------------------|------------|
| (b) Dividends on ordinary stock        | 87,240,000 |
| (c) Percentage of earnings distributed | 94.9       |

4. In the case of General Electric Co., Ltd., the American policy of retaining a fair proportion of the earnings has apparently been followed. The greater part of these surplus earnings, however, were carried to "Reserve Account." The following figures summarize the period 1925 through Mar. 31, 1939:

|                                 |             |
|---------------------------------|-------------|
| (a) Net income                  | £10,433,000 |
| (b) Preferred dividends         | 3,468,000   |
| (c) Dividends on ordinary stock | 4,521,000   |
| (d) Appropriation for reserves  | 1,847,000   |
| (e) Balance to surplus          | 597,000     |

#### NOTE 47

The reader is referred to House Doc. No. 70, 76th Congress, 1st Session (Washington, 1939), *The Statistical Survey of Investment Trusts and Investment Companies*, especially to pp. 463–493, 833–937, for a more complete statement concerning the results of the detailed examination by the S.E.C. staff of the performance of large management investment companies over the period 1927–1937. The method of analysis employed by the S.E.C. staff was, in general, to compare fluctuations in net assets (without deduction of funded debt)<sup>4</sup> of investment companies with fluctuations in the Standard Statistics index of 90 common stocks, and with a combined security relative constructed to afford greater comparability with investment trusts due to the fact that the latter do not confine their commitments to common stocks entirely.

The following generalizations of the results of this study are quoted from pp. 904–906 of the House Document cited above:

"The analysis in this appendix indicates that large management investment companies proper ... typically performed like an index of common stocks with but few companies bettering this performance. The only important tendency to departure from the index would seem to have resulted from the investments other than common stocks, and from the increase in the proportion of this type of investment during years of declining stock prices and the decrease in these investments during rising markets. There is no evidence that many companies

<sup>4</sup> The effect of repurchases of the companies' own securities at discounts below asset values was eliminated. Adjustments were also made for distributions to shareholders by the investment companies and by the components of representative groups or averages with which the trusts' performance was compared.